12. Income Taxes

Domestic and foreign pre-tax income are as follows:

	Fiscal Years Ended		
	March 31, 2007	April 1, 2006	April 2, 2005
		(millions)	
Domestic	$ 508.6	$396.9	$154.8
Foreign	134.7	106.0	143.0
Total income before provision for income taxes	$ 643.3	$502.9	$297.8

Current and deferred income taxes (tax benefits) provided are as follows:

	Fiscal Years Ended		
	March 31, 2007	April 1, 2006	April 2, 2005
		(millions)	
Current:			
Federal[(a)]	$ 250.7	$118.0	$102.0
State and local[(a)]	50.2	14.9	17.3
Foreign	53.9	26.4	16.1
	354.8	159.3	135.4
Deferred:			
Federal	(99.2)	24.3	(33.6)
State and local	(12.8)	11.8	2.4
Foreign	(0.4)	(0.5)	3.2
	(112.4)	35.6	(28.0)
Total provision for income taxes	$ 242.4	$194.9	$107.4

(a) Excludes federal, state and local tax benefits of $33 million in Fiscal 2007, $22 million in Fiscal 2006 and $19 million in Fiscal 2005 resulting from the exercise of employee stock options. In addition, excludes federal, state and local tax benefits of $31 million for Fiscal 2007 primarily related to the repayment of the 1999 Euro Debt. Such amounts were credited to stockholders' equity.

The differences between income taxes expected at the U.S. federal statutory income tax rate of 35% and income taxes provided are as set forth below:

	Fiscal Years Ended		
	March 31, 2007	April 1, 2006	April 2, 2005
		(millions)	
Provision for income taxes at the U.S. federal statutory rate	$ 225.1	$176.0	$104.2
Increase (decrease) due to:			
State and local income taxes, net of federal benefit	25.7	17.4	12.8
Foreign income taxed at different rates, net of U.S. foreign tax credits	(11.2)	(5.6)	(12.0)
Other	2.8	7.1	2.4
Total provision for income taxes	$ 242.4	$194.9	$107.4

Significant components of the Company's net deferred tax assets are as follows:

	March 31, 2007	April 1, 2006
	(millions)	
Current deferred tax assets (liabilities):		
Receivable allowances and reserves	$ 24.5	$ 18.3
Uniform inventory capitalization	12.2	8.3
Employee benefits and compensation	2.2	2.6
Restructuring reserves and other accrued expenses	4.8	7.4
Other	0.6	(3.3)
NOLs and other tax attributed carryforwards	0.1	—
Valuation allowance	—	(0.9)
Net current deferred tax assets (liabilities)	44.4	32.4
Non-current deferred tax assets (liabilities):		
Property, plant and equipment	36.3	19.9
Goodwill and other intangible assets	(96.3)	(88.3)
Net operating losses carryforwards	5.4	12.8
Cumulative translation adjustment and hedges	0.4	21.2
Deferred compensation	35.2	25.8
Deferred income	72.5	1.5
Other	5.0	(5.1)
Valuation allowance	(1.6)	(8.6)
Net non-current deferred tax assets (liabilities)	56.9	(20.8)
Net deferred tax assets (liabilities)	$ 101.3	$ 11.6

The Company has available federal, state and foreign net operating loss carryforwards of $1.3 million, $4.9 million and $9.3 million, respectively, for tax purposes to offset future taxable income. The net operating loss carryforwards expire beginning in Fiscal 2008. The utilization of the federal net operating loss carryforwards is subject to the limitations of Internal Revenue Code Section 382, which applies following certain changes in ownership of the entity generating the loss carryforward.

Also, the Company has available state and foreign net operating loss carryforwards of $6.9 million and $4.1 million, respectively, for which no net deferred tax asset has been recognized. A full valuation allowance has been recorded since management does not believe that the Company will more likely than not be able to utilize these carryforwards to offset future taxable income. Subsequent recognition of these deferred tax assets would result in an income tax benefit in the year of such recognition.

The valuation allowance decreased to $1.6 million in Fiscal 2007 from $9.5 million in Fiscal 2006. This decrease is primarily due to the utilization of foreign net operating losses for which a valuation allowance was previously recorded.

Provision has not been made for U.S. or additional foreign taxes on $274.5 million of undistributed earnings of foreign subsidiaries. Those earnings have been and will continue to be reinvested. These earnings could become subject to tax if they were remitted as dividends, if foreign earnings were lent to PRLC, a subsidiary or a U.S. affiliate of PRLC, or if the stock of the subsidiaries were sold. Determination of the amount of unrecognized deferred tax liability with respect to such earnings is not practical. Management believes that the amount of the

additional taxes that might be payable on the earnings of foreign subsidiaries, if remitted, would be partially offset by U.S. foreign tax credits.

The Company is periodically examined by various federal, state and foreign tax jurisdictions. The tax years under examination vary by jurisdiction. The Company regularly considers the likelihood of assessments in each of the taxing jurisdictions and has established tax allowances which represent management's best estimate of the potential assessments. The resolution of tax matters could differ from the amount reserved. While that difference could be material to the result of operations and cash flows for any affected reporting period, it is not expected to have a material impact on consolidated financial position or consolidated liquidity.

The Company will adopt FIN 48 as of the beginning of Fiscal 2008 (April 1, 2007). While the Company continues to analyze the effect from adopting the provisions of FIN 48, it is currently anticipated that a cumulative effect adjustment of up to $85 million will be charged to retained earnings during the first quarter of Fiscal 2008. This estimate is subject to change as the Company completes its analysis. See Note 4 for the Company's discussion of recently issued accounting standards, including accounting for uncertainty in income taxes.

French Income Tax Audit

The French tax authorities are in the process of auditing one of the Company's French subsidiaries for the taxable years 2000 through 2005. Among other matters still under review, the French tax authorities have asserted that certain intercompany royalty payments made by the Company's French subsidiary to a related U.S. subsidiary were excessive and that a portion should be disallowed as a deduction under French tax law.

The Company disagrees with the position of the French tax authorities that such royalties were excessive. It is expected that the matter ultimately will be resolved under the competent authority procedures of the US-France Income Tax Treaty in order to avoid the double taxation of such income.

Under French tax law, the Company was required to provide bank guarantees for the payment of the asserted tax assessment prior to resolution under the competent authority procedures. Accordingly, the Company has arranged for certain banks to guarantee payment to the French tax authorities on behalf of the Company in the amount of €41.3 million ($55.1 million). In order to secure these guarantees, primarily in Fiscal 2007, the Company placed a corresponding amount of cash in escrow with the banks as collateral for the guarantees. Such cash has been classified as "restricted cash" and reported as a component of "other assets" in the Company's accompanying consolidated balance sheet. Management does not expect that the ultimate resolution of the asserted excess royalties matter will have a material adverse effect on the Company's financial condition or results of operations.

The French tax authorities are required to complete their audit by December 31, 2007. While no significant adjustments other than the asserted excess royalty matter have been formally proposed by the French tax authorities as of the end of April 2007, certain tax positions taken by the Company in connection with the restructuring of its European operations in Fiscal 2004 could be challenged. The Company maintains a tax reserve against this potential exposure based on its best estimate of the probable outcome. However, if asserted, it is reasonably possible that an unfavorable settlement could exceed the Company's established reserves by an estimated amount of up to approximately $30 million, including related employee profit-sharing obligations required under French law based on the reassessed higher level of taxable income. Nevertheless, management does not expect that the ultimate resolution of this matter will have a material adverse effect on the Company's liquidity or financial condition.